b) Special Resolution

A special resolution is the one which is passed by a not less than 75% of majority. The number of votes, cast in favour of the resolution should be three times the number of votes cast against it. The intention of proposing a resolution as a special resolution must be specifically mentioned in the notice of the general meeting.

Special Resolution is required for the following Matters

(i) To change the registered office of the company from one state to another

(ii) To change the objectives of the company

(iii) To change the name of the company

(iv) To alter the Articles of Association

(v) To reduce the share capital subject to the confirmation of the court

(vi) To commence any new business

(vii) To appoint the auditor for the company

(viii) To appoint the sole selling agents in specified cases

(ix) To determine the remuneration of the Director and the Managing Director

c) Resolution requiring Special Notice:

There are certain matters specified in the Companies Act, 2013 which may be discussed at a general meeting only if a special notice is given at least 14 days before the meeting.The intention to propose any resolution must be notified to the company. The following matters require special notice before they are discussed in the meeting:-

(i) To appoint an auditor, a person other than a retiring auditor

(ii) To provide expressly that a retiring Auditor shall not be reappointed

(iii) To remove a director before the expiry of his period of office

(iv) To appoint a director in the place of a director so removed

28.10 Voting



The word 'Vote' originated in Latin word 'Votum' indicating one's wishes or desire. By casting his vote one formally declaring his opinion or wish in favour of or against a proposal or a candidate to be elected for an office. The proposals passed across the table of any company depend mainly on the votes cast by the board of directors. Every motion or proposal is subject to the approval of the majority of the members or shareholders can cast their votes only on the occasions in which they want establish their rights according to the section 47 of the company Act, 2013.

Procedures of Voting

There are two distinct procedures of voting viz., Open and Secret procedures.

I. Open Procedure

This type of voting has no secrecy as the all the members assembled can see voting. There are two popular methods of open voting namely voice voting and voting by show of hands.

(a) By Voice:



Voice voting is a popular type of voting in which the chairman allows the members to raise their voice in favour or against an issue 'Yes' for approval and 'No' for rejection. Chairman announces the result of voice voting on the basis of strength of words shouted. It is an unscienfic method. It cannot be employed for deciding complex issue.

(b) By Show of Hands:

Under this method the chairman, requests the members to raise their hands of those who are in favour of the proposal or candidate and then requests those are against. Then the chairman counts the number of hands raised for Yes and No respectively can announce the result on the basis of hands counted.

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